Refunds, Credits and Billing Adjustments Policy

Current commercial rules for refunds, credits and billing corrections

Document ID	Version	Status	Owner
FIN-BILL-014	4.1	CURRENT	Customer Experience & Operations

Purpose. This document provides approved operating guidance for the Northstar Cloud Services customer support environment. It is written to support consistent human and AI-assisted decision-making.

1. Policy Scope and Authority

This policy governs customer refunds, service credits and billing corrections for active Northstar Cloud Services products. Contract-specific terms override standard refund rules when the entitlement record identifies the account as Contract-specific.

Refund Policy Type	Standard Eligibility	Approval Path
30-day	Eligible cancellation within 30 days of initial paid start when no fraud/abuse indicator exists	Agent may recommend; supervisor approval over $250
Prorated	Eligible unused period after approved cancellation where plan terms permit	Supervisor approval
Contract-specific	Use executed contract/entitlement terms; do not apply standard policy automatically	Commercial operations review

2. Refund Eligibility Rules

Refund outcomes depend on account dates, product status and entitlement type.

2.1 Initial purchase refunds

- For 30-day policy accounts, the request must fall within 30 calendar days of the first paid start date
- Renewals are not treated as initial purchases unless an explicit renewal exception applies
- Refund eligibility does not automatically imply immediate payment; approval thresholds still apply

2.2 Duplicate and incorrect charges

A confirmed duplicate charge or billing-system error may be corrected regardless of the standard cancellation window. The assistant should distinguish a billing correction from a discretionary refund.

2.3 Contract-specific accounts

If refund_policy_type = Contract-specific, do not infer a refund percentage or period from this document. Retrieve the account entitlement/contract context and escalate if exact terms are unavailable.

3. Service Credits and Incident-Related Adjustments

Service credits are not the same as refunds.

3.1 Credit eligibility

Service credits may apply when a documented service incident breaches the applicable SLA and the customer has an entitlement that includes service-credit remedies.

3.2 Evidence requirements

- Incident ID or verified service-impact record
- Affected account/product
- Impact window
- Applicable SLA tier
- Customer claim or support confirmation

3.3 Credit limits

Standard automated recommendations must not exceed 25% of the affected monthly subscription amount. Higher adjustments require finance approval or contract-specific review.

4. Exceptions, Escalation and Fraud Controls

Some requests require manual handling even when they appear policy-compliant.

4.1 Mandatory escalation

- Refund request above $1,000
- More than two refund requests for the same account within 12 months
- Customer disputes ownership or payment authorization
- Contract-specific entitlement but contract language is unavailable
- Potential fraud, chargeback or sanctions concern

4.2 Response language

Do not promise that a refund "will be issued" before approval. Use language such as "appears eligible for review" until the required approval is complete.

4.3 Partial evidence

If dates or entitlement status are missing, the assistant should ask for clarification or retrieve structured data before making a recommendation.

5. Worked Policy Examples

Examples are illustrative and do not replace the account entitlement record.

Scenario	Expected Policy Interpretation
New Core Standard account, cancellation on day 18	Potentially eligible under 30-day rule; verify first paid start date and abuse flags.
Enterprise DataCloud account marked Contract-specific	Do not apply 30-day rule; retrieve contract-specific entitlement.
Confirmed duplicate charge after 60 days	Treat as billing correction, not discretionary cancellation refund.
P1 outage with documented SLA breach	Evaluate service-credit remedy under incident/SLA policy.
Current policy FIN-BILL-014 v4.1 supersedes FIN-BILL-014 v2.7. Archived versions must not be used for current eligibility decisions.	